

Critiques of Sanyal's Postcolonial Capitalism Framework

Summary, Existing Literature, and Directions for Further Development

Compiled from discussion based on Bhattacharya, Kesar & Mehra (2022), "Exclusion, Surplus Population, and the Labour Question in Postcolonial Capitalism," *Review of Political Economy*, which surveys seven critiques of Kalyan Sanyal's *Rethinking Capitalist Development* (2007).

Critique 1: The Need Economy's Internal Dynamics and Relation to Capital

What it says: This is really a cluster of related questions. Does the "need economy" have its own distinct dynamics and a clear relation to the capitalist segment, or is the split between the two illusory? Specifically:

- Can the two segments be strictly separated as autonomous sub-economies (classical dualism)?
- Is the need economy a "pure outside" of capital, or is the relation structured by a *spatio-temporal flux* of population groups moving across capitalist and non-capitalist segments?
- Can the category be expanded to include the vast agrarian sector?
- What role do other normative logics — gender, caste, race, region, religion — play in traversing, enabling, and interrupting these forms?

Literature developing it:

- **The review paper itself (Section 3)** is the most sustained attempt to answer the agriculture question. It tests whether Indian agriculture fits Sanyal's strict definition and reaches a mixed verdict: agriculture doesn't fit precisely (its genesis isn't tied to dispossession the way informal PCP is, and it feeds cheap food into accumulation rather than being purely a-functional), but it performs an *analogous political function* as a holding ground for the excluded population.
- **Dasgupta (2021)**, "Peasant Production in India: How the 'Need Economy' Facilitates Accumulation" — the direct precursor to the review's agriculture section; extends the need-economy category to smallholder agriculture, engaging Sanyal against Bernstein/Lerche's "agrarian question of labour."
- **Gidwani and Wainwright (2014)**, "On Capital, Not-Capital, and Development: After Kalyan Sanyal" — origin of most of this critique; pushes hardest on the "pure outside" question and the money/circuit distinction Sanyal uses to keep the need economy analytically separate from accumulation.

- **Kesar (2023)**, "Economic transition, dualism and informality in India" — empirically tracks household-level sectoral transitions and finds that whether a transition is "favourable" or "unfavourable" varies with caste — an empirical start on the "other normative logics" question.
- **Mukhopadhyay (2023)**, "A Postcolonial Reading of a Diverse Craft Economy" — combines Gibson-Graham's diverse-economies approach with Sanyal to study Kolkata's clay-idol craft sector, explicitly foregrounding gender through women owner-artisans' politics.
- **Mosse (2019)** on caste and the market economy (background) — argues caste functions as an economic resource and opportunity-hoarding mechanism *within* markets, not a pre-modern relic outside them.

Directions to develop further:

1. Disaggregate the need economy empirically by caste/gender using NSS/PLFS microdata to see whether the "surplus population" is homogeneous or whether specific groups are structurally locked into the lowest-surplus segments.
2. Build a general typology of what makes a sector "need economy" vs. not (genesis via dispossession vs. continuity of possession; direct self-provisioning vs. market mediation; degree of a-functionality vs. functional linkage to accumulation) and apply it systematically to other candidate sectors (gig work, care work, urban waste economies), not just agriculture.
3. Historicize further back into the colonial period (ties to Critique 3 below).
4. Link to Critique 5 (household social reproduction) since gender operates partly through the household space.

Critique 2: Class Analysis and "Class Essentialism"

What it says: Can the "need economy" be understood through a class-theoretic lens (production, appropriation, distribution of surplus) rather than as something separate from class analysis? Sanyal himself pushed back on this, calling it "class essentialism" — he worried folding everything into class categories would crowd out space for thinking about exclusion/dispossession as its own distinct political problem.

Literature developing it:

- **Snehashish Bhattacharya (2010; 2017)**, "Reproduction of Noncapital: A Marxian Perspective on the Informal Economy in India" (in *Knowledge, Class, and Economics: Marxism without Guarantees*, eds. Burczak, Garnett & McIntyre, 2018) — the most direct integration attempt. Uses Resnick & Wolff's class-process framework (fundamental/subsumed class processes) to show the informal sector contains

heterogeneous class processes — capitalist, feudal, "ancient" (self-exploitative), and communal — coexisting even within single enterprises.

- Key empirical findings: informal enterprises split into OAMEs (own-account, family labor only, ~84% of enterprises) and establishments (predominantly capitalist, ~16%). Using NSSO data (2000-01, 2005-06, 2010-11), OAME Gross Value Added fell from ~16% to ~12-13% of establishment GVA over the high-growth decade. Net surplus per OAME was around INR 616-669/month — "next to nothing" for accumulation.
- Mechanism: OAMEs survive by avoiding explicit costs (encroachment, shared services, shared slum land) and by pushing household workers' living standards *below* what a wage worker would accept — not by extracting surplus from anyone else.
- He treats this class analysis as *compatible with*, not a replacement for, Sanyal's exclusion framing — the noncapitalist sector as a "reservoir"/"sink" for a surplus population that dispossession creates but never fully proletarianizes.
- **Chakrabarti & Cullenberg (2003)**, *Transition and Development in India* — predates Sanyal's book; reformulates the Marxian concept of surplus to include a "realm of need," and develops the "class sets" concept as an alternative to assuming a single dominant mode of production.
- **Harriss-White**, "Awkward Classes" — treats petty commodity production as its own class category overlapping with both wage-labour and small capital, reproducing by multiplication rather than accumulation.
- **Bhowmik (2020)** on India's Social and Solidarity Economy — applies the same class-focused approach to cooperatives and FPOs.

Directions to develop further:

1. Disaggregate the need economy using Resnick-Wolff's class taxonomy instead of treating it as one undifferentiated "outside" (see worked example in Appendix below).
 2. Trace subsumed/distributive class processes — follow where surplus from PCP households actually goes (rent, interest, subcontracting discounts) to test whether "a-functional to capital" really holds, or whether surplus quietly flows upward.
 3. Use "class sets" (Chakrabarti & Cullenberg) to handle heterogeneity across households/regions instead of a single capitalist/non-capitalist binary.
 4. Bring in gender/caste as overdetermining conditions of class processes within the need economy (links to Critique 1).
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Critique 3: Historicizing Further Back (Colonial Genealogy)

What it says: The narrative of capital's "arising" needs to be traced back to the complex histories of 19th-century colonialism, rather than treated as a provisional construct of the 20th-century postcolonial period. Sanyal's story effectively starts the clock around decolonization-era dispossession; critics argue the dynamic he describes has its roots in colonial-era land revenue systems, deindustrialization, and famine.

Literature developing it: This is the *least* developed of the seven critiques.

- **Gidwani and Wainwright (2014)** raised it but didn't build it out fully.
- **Chatterjee & Sanyal (2016)**, a published conversation between the two — Chatterjee (a historian of colonial governmentality) pushes Sanyal on how his framework relates to the longer colonial history of dispossession, though it stays at the level of dialogue rather than a worked-out historical account.
- **Van der Linden (2025)** traces surplus-population formation in Africa, Asia, and Latin America back to the 1930s–40s — i.e., the colonial period, not the postcolonial one — exactly the periodization push this critique calls for, though it doesn't engage Sanyal by name.

Directions to develop further:

1. Build an actual historical case linking colonial-era processes (permanent settlement/land revenue systems, documented deindustrialization, colonial famine policy) directly to the contemporary "need economy" category, showing continuity rather than rupture at independence.
 2. Use van der Linden's periodization (Europe's 18th–19th century wave vs. the Global South's 1930s–40s wave) as a comparative anchor.
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Critique 4: The "No Complete Transition" Claim and Geographic Variation

What it says: Two linked concerns: (a) whether Sanyal's claim about the implausibility of a "complete" classical capitalist transition warrants more scrutiny, and (b) whether trajectories of capitalist development vary across different postcolonial contexts — specifically less labour-surplus or more resource-abundant economies in Latin America and Africa.

Literature developing it:

- **Bardhan (2009, 2018)** and **Basu (2019/2021)**, "Capital, Non-Capital and Transformative Politics in Contemporary India" — Basu directly scrutinizes the "no complete transition" claim, arguing evidence shows primitive accumulation of land

has actually slowed rather than continued in India, and gestures toward an alternative framework. The review paper pushes back on this specific point in its own Section 3.

- **Prabhat Patnaik's memorial-lecture essay on Sanyal** — works through several of Sanyal's central claims from a classical-Marxist, transition-skeptical position, based on real correspondence between the two before Sanyal's death.
- **Scully and Woolfson (2019)** — ground "surplus population" historically in Northern Ghana and South Africa's Eastern Cape, arguing it's limiting to assess these populations' relevance only in relation to capital rather than their political role too.
- **Sepúlveda (2010)** — examines Latin America's surplus population as a product of unequal exchange between developed and underdeveloped economies, a different generative mechanism than Sanyal's dispossession story.
- **Scherrer (2022)** — compares early industrializers with "late industrializers," arguing premature deindustrialization under imperial legacies does much of the explanatory work.
- **Cowan and Morvaridi (2023)**, "Theorizing peripheral labor" — directly challenges the exclusion/surplus framing itself, arguing "surplus" labor in the periphery is actually integral to capitalist value extraction rather than externalized — a substantive counter-position to both Critiques 2 and 4 at once.
- **Bernstein (2023)**, "Where is population in 'surplus population'?" — interrogates whether "surplus population" in Marx is a law-driven effect or a functional category.

Directions to develop further:

1. Rather than treating "resource-abundant, less labour-surplus" economies as residual, build a comparative typology specifying *which* generative mechanism (dispossession-without-absorption, as in Sanyal; unequal exchange, as in Sepúlveda; premature deindustrialization, as in Scherrer) dominates in which regional context.
2. Use Scully/Woolfson's Ghana–South Africa work and Sepúlveda's Latin America work as case anchors for this typology.

Note on Critiques 5 and 6

These were referenced in passing during discussion but not developed in the same depth:

- **Critique 5** concerns household-level social reproduction (linking to Tithi Bhattacharya's social reproduction theory) — flagged as a natural connecting point for Critique 1's gender dimension.
 - **Critique 6** concerns Sanyal's governmentality framing of the state's welfare response to exclusion — flagged as the direct antecedent/companion to Critique 7 below.
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Critique 7: Lack of Scope for Counter-Hegemonic Political Agency

What it says: Sanyal's framework has been faulted for offering little room for subversive, counter-hegemonic, or anti-capitalist political practice, because he frames the politics of exclusion entirely within the boundaries of welfarist governmentality. Sanyal himself claims his framework opens a discursive space for new counter-hegemonic imaginaries to become visible, but this promise remains largely unfulfilled theoretically.

Literature developing it:

- **Pranab Kanti Basu (2016)**, "From Hegemony to Governmentality" (*International Critical Thought*) — origin of the critique.
- **Basu (2021)**, "Capital, Non-Capital and Transformative Politics in Contemporary India" — pushes it further, examining three core components of Sanyal's argument, finding evidence against continued primitive accumulation of land, and gesturing toward an alternative framework (still a sketch, by his own account).
- **Mukherjee (2024)**, "Governmentality or Class Politics: The Path Ahead for Indian Communists" — a sharp, current articulation of the same tension applied to organized left politics: Indian Communists oscillating between liberal/neoliberal governmentality and "capitalo-parliamentarian" hegemony, needing to choose between constitutional governmentality and extra-parliamentary transformative class politics.
- **Agarwala (2013, 2020)** on informal workers' movements in India — documents real cases where such movements secured new state recognition and protections, evidence against the idea that exclusion-politics is permanently capped at welfarism.
- **Manjusha Nair**, *Undervalued Dissent: Informal Workers' Politics in India* — comparative study of two similarly-positioned informal workers' movements in Chhattisgarh (one won major concessions in 1977, one was crushed in the 1990s) — a lens on exactly when exclusion-based mobilization tips into genuine counter-hegemonic confrontation versus gets absorbed into governmentality.
- **Mukhopadhyay (2023)** (also relevant to Critique 1) — frames women artisans' assertions of socio-economic justice in Kumartuli as a form of counterhegemonic politics disrupting the accumulation economy.
- **Nilsen and Roy**, *New Subaltern Politics* — reworks hegemony/resistance theory for contemporary India, showing subaltern political agency is simultaneously enabled and constrained by the state — a theoretical middle ground between "governmentality forecloses everything" and free agency.

Directions to develop further:

1. Build a typology of conditions (using Agarwala's and Nair's comparative frameworks) distinguishing movements of the excluded that stay within welfarist governmentality from those that escape it into transformative demands.
2. Use the 2020–21 Indian farmers' protests as a live test case: were they seeking to entrench the need economy (compatible with governmentality) or genuinely reject capital's expansion into agriculture?
3. Extend to gig/platform work — a newer "need economy"-adjacent space where the state hasn't yet built a full governmentality apparatus.
4. Connect back to Critique 2 — Basu's and Mukherjee's "class politics" alternatives suggest a class-based (rather than purely exclusion-based) reading of the excluded population might supply the missing political agency, meaning Critiques 2 and 7 may be two symptoms of the same gap.

Appendix: Worked Example — Disaggregating the Need Economy via Resnick-Wolff Class Taxonomy

(Deep dive on Critique 2's development, using Bhattacharya's own data as raw material.)

Step 1 — Separate two independent axes. Sanyal has one axis: relation to capital (included/excluded). Resnick-Wolff has a different axis: position in the class process (who performs surplus labor, who appropriates it). Holding both at once turns "the excluded" from one population into several.

Step 2 — Disaggregate using Bhattacharya's fundamental class process (FCP) categories:

Position in need economy	Who performs surplus labor	Who appropriates it	Exploitative?
Establishment owner	Hired wage workers	Owner (capitalist FCP)	Yes
OAME self-exploiter (ancient)	Owner alone	Owner (self)	No
OAME household head (feudal)	Unpaid spouse/children/elderly relatives	Household head	Yes — no wage, no capital
OAME collective household (communal)	All household workers jointly	All household workers jointly	No

Step 3 — Add the subsumed class process (SCP) layer. Bhattacharya notes surplus is distributed out as rent, interest, and bribes, but never asks who *receives* these payments. Often the recipients (informal landlords, moneylenders) are themselves formally "excluded" from capital by Sanyal's own criteria — producing a second, invisible stratification (net contributors vs. net recipients) within the "surplus population."

Step 4 — Combined matrix:

	Appropriates others' surplus	Appropriates only own surplus	Surplus appropriated by someone else
Excluded from capital	Feudal household heads; informal landlords/moneylenders	Ancient self-exploiters; communal households	Unpaid household labor (spouses, children, elderly)
Included in capital	Capitalist establishment owners	—	Wage workers

This shows exploitation and exclusion are independent variables — one can be excluded-and-exploiter, excluded-and-exploited, or excluded-and-neither, distinctions Sanyal's single axis can't make.

Step 5 — Where gender/caste re-enters. The feudal-appropriator cell correlates with household headship (typically male, typically the elder); the feudal-performer cell is disproportionately women, children, and elderly dependents. This connects to Harriet Fraad's and Elizabeth Ramey's household-class-analysis chapters in the same volume as Bhattacharya's, applied here to Indian OAME data.

What's genuinely new vs. what's already in Bhattacharya's chapter:

Already in Bhattacharya (not new):

- The ancient/feudal/communal/capitalist FCP typology itself, including the "small master" Marx quote.
- The GVA/net surplus empirical differential (Tables 21.1-21.2).
- The existence of distributive (subsumed) class payments (rent, interest, bribes).
- The warning that "inclusive development" interventions could differentiate OAMEs, pushing some toward capitalism while dispossessing others.
- The worker cooperative proposal as political alternative.
- His own explicit linkage of this class analysis to Sanyal's surplus population concept.

Genuinely new (not in his chapter):

1. Identifying *who receives* the distributive payments and their own exclusion status — creating an internal creditor/debtor stratification within the "surplus population."
2. The general claim that exploitation and exclusion are orthogonal axes, and the matrix systematizing that.
3. Gender and caste of household headship — Bhattacharya's chapter never mentions gender or caste at all; this connection was imported from other chapters in the same volume as analogy.
4. The mechanism by which credit/training interventions route through the existing intra-household appropriator (usually the head), potentially entrenching rather than disturbing the feudal class process — a more granular, gendered version of his enterprise-level point.
5. The tie to Critique 7 — that transformative politics might need to target intra-household/intra-community exploitation, not just external exclusion. Bhattacharya's own conclusion stays at the level of the excluded resisting capital as a bloc.

End of report.